Professional Issues in IT

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What is an organization

Introduction

- An organization is a group of people working together in a formal way. Legal existence is must for an organization.

Examples:

schools and colleges, hospitals, banks. These all are organizations as people work in these together in an organized way and formal way.

we can work for a private company or a government department, both are organizations

Even we can set a business and make our own organization

Is a jail an organization????????

COMMERCIAL ORGANIZATIONS

People with particular skill set, strategy, resources, or priorities work together to turn a profit.

The law offers several different ways of setting up and operating a commercial organization.

- Depending on the circumstances, the business may be operated as a *sole trader, a partnership, a cooperative, or a limited company.*
- ***Characteristics of Commercial Organizations***
  - *Profit Oriented*
  - *Economic Contribution*
  - *Revenue Generation*

Sole trader

A sole trader is an individual who runs their own business.

There are no legal formalities attached to becoming a sole trader; you become a sole trader simply by starting to run a business.

If the income of your business is large enough, you can get registered with customs and tax, but neither of these is necessary simply in order to become a sole trader.

- **Simplicity and Low Cost**
- **Complete control**
- **Privacy**
- **Direct Incentives**

Risk for Sole trader

A sole trader is personally liable for all the debts of the business so that all the trader's assets, including the family home, are at risk if the business fails.

For this reason, anyone who is in business in anything other than a very small way should not operate as a sole trader

PartnerShip

If a group of people carry on a business with a view to making profits, and the business is not a limited company, then the law will treat them as being in a *partnership.*

The legal framework governing partnerships was established in the Partnership Act 1890 and has since been changed only in minor ways. The Act has important consequences for people going into business together.

Problem factor

- *Share rate*

COOPERATIVES

Cooperatives are another way in which an organization can acquire a legal existence. They are important in fields such as agriculture and enjoy a special legal status.

Limited Liability Partnership (LLP)

- Partnerships are mainly used in professions such as the law, medicine or architecture.
- An LLP is a corporate body, that is, it is a legal person and has a continuing existence independent of its members.
- The members of an LLP have a joint or collective responsibility to the extent that this is agreed when setting up the partnership but they have no responsibility for each other's actions.

LIMITED COMPANIES

There are three principles that are fundamental to the concept of a limited liability company:

- The company has corporate legal identity, that is, it is a legal person, completely separate from the people who work in it or the people who own it.
- The ownership of the company is divided into a (usually large) number of shares. These shares can be bought and sold individually. The people who own these shares are known as the members of the company or shareholders.
- In the event that the company incurs debts or other legal liabilities, the owners of the company have no obligation to pay these. The most that shareholders stand to lose is the money they paid for their shares.

LIMITED COMPANIES

- The UK recognises two main types of limited company, the public limited company (plc) and the private limited company.
- A limited liability company has certain obligations. It must provide details about itself to Companies House.
- Companies must produce annual accounts and an annual report; these must be submitted to Companies House and will be publicly available.

SETTING UP A COMPANY

- How would you set a company ?
- A limited company is created by a group of people each agreeing to subscribe a certain amount of money to set up an organization to pursue some stated goal and
- To register the organization as a limited company in accordance with the law.
- Hire an accountant and legal advisor (optional)
- Buying a template company or off-the-shelf company from an agent and customize it accordingly

THE CONSTITUTION OF A LIMITED COMPANY

In order for a company to be registered, it must have a constitution. This consists of two documents:

the *memorandum of association and*

the articles of association.

Memorandum

It is a document which includes :

Name of the company should be not used before and it should not contain certain words like country name or ambiguous names

The country (name or names) in which its registered office will be located

The objects of the company: This is a statement of the type of business in which the company will engage. This may simply state that its object is to carry on business as a general commercial company, without being any more specific.

A liability clause: In the case of a company limited by shares, this clause merely states that the liability of the members is limited.

The company's authorized share capital and the number and nominal value of its shares

Declaration of Association

The memorandum will conclude with a *declaration of association* along the following lines:

We, the several persons whose names, addresses and descriptions are written below, are desirous of being formed into a company in pursuance of this Memorandum of Association, and we respectively agree to take the number of shares in the capital of the company set out opposite our respective names.

Table A

In order to simplify the setting up of companies, the Companies Act 1948 included a specimen set of articles of association, which have been regularly updated; these are known as *Table A. Most companies* now adopt Table A as the basis of their articles of association and specify only the way in which their articles differ from Table A.

DIRECTORS

The law requires that the share holders appoint directors to take responsibility for running the company on their behalf.

Has duty towards shareholders as well as company employees

Must devote himself to the companies benefits and avoid personal interest

Is liable for any wrong decision

Responsibilities of DIRECTORS

- The directors are required to keep themselves aware of the company's financial position and not allow it to continue to incur debts when they know or should have known that the company will be unable to repay them.
- The directors are responsible for drawing up the company's annual report, including its accounts, and for filing this report with Companies House.
- The directors are responsible for ensuring that the company com plies with all relevant provisions of the law.

Categories of DIRECTORS

- **Executive directors** are full-time employees of the company, involved in day-to-day operations and management.
  - They hold specific management roles, such as CEO, CFO, or COO, and are responsible for implementing company policies and strategies.
- **Non-executive directors** are not involved in the daily operations of the company. They provide independent oversight and strategic advice.
  - They are responsible for monitoring executive management, ensuring that the company is run in the best interests of shareholders, and maintaining accountability.

NON-COMMERCIAL BODIES

- Non-profiting
- Staff working as volunteers or nominal pay
- Such organizations include professional bodies, such as the BCS or the Institute of Physics, charities
- They rely on donations, grants, membership fees, government funding, or income from activities that support their mission
- Aims to enhance healthcare, reduce poverty, and expand educational opportunities.
- Such organizations usually take the legal form of a company limited by guarantee

NON-COMMERCIAL BODIES

- Many of the organizations with which we are most familiar come into existence by statute, that is, by Act of Parliament. Such organizations are often known as **statutory bodies.**
- Statutory bodies enforce laws, set standards, and ensure compliance within specific sectors, such as finance, education, and healthcare.
- Many statutory bodies offer expert advice to the government on policy matters, industry regulations, and best practices.

Discussion

You and a few friends are thinking of going into business together to offer software development and system integration services to small businesses. Explain why it would be wise (or, alternatively, why you think it would not be wise) to form yourselves into a limited company.

Discussion

Sarah, a passionate baker, started her own bakery as a sole trader. She loves the freedom of running her own business, setting her own hours, and being able to make all decisions independently. However, Sarah is also responsible for every aspect of the business, from baking and marketing to accounting and customer service.

Sarah's bakery becomes quite popular, and she starts receiving large orders from local cafes and events. As her business grows, she struggles to keep up with demand, and her workload becomes overwhelming. One day, a customer slips and falls in the bakery due to a wet floor, resulting in a lawsuit for medical expenses.

1. **How could the lawsuit impact Sarah personally, considering she is a sole trader?**
2. **What could Sarah do to manage the growth of her business and minimize risks?**